DEPARTMENT OF MBA

B.Tech. II-YEAR II-SEMESTER

QUESTION BANK

for

MANAGERIAL ECONOMICS AND FINANCIAL ANALYSIS

Course Code : 23A52402a

As Per JNTUA R23 Regulations

NARAYANA
ENGINEERING COLLEGE
(AUTONOMOUS)

(w.e.f 2024-25 Academic Year)

Year / Sem	: II Yr B.Tech. – II Sem.
Branch	:Common for Civil,EEE,ECE,EVT,ECA,CSE,CSM

Module – 1 Managerial Economics

S. No	Question	CO	BL	Marks
Short Questions				
1	What do you mean by managerial economics?	**1**	**1**	**2**
2	Write a brief note on Macro Economics.	**1**	**1**	**2**
3	State the law of demand.	**1**	**1**	**2**
4	Define elasticity of demand.	**1**	**1**	**2**
5	What is demand forecasting?	**1**	**1**	**2**
6	What are Giffen goods?	**1**	**1**	**2**
7	What are substitute goods?	**1**	**1**	**2**
8	Write the demand function.	**1**	**1**	**2**
9	What is price elasticity of demand?	**1**	**1**	**2**
10	State any 2 quantitative methods of demand forecasting.	**1**	**1**	**2**
Long Questions				
1	Define Managerial Economics. Explain its nature and scope	**1**	**2**	**10**
2	Explain how Managerial Economics is linked with financial accounting and management	**1**	**2**	**10**
3	Define demand function and explain the determinants of demand	**1**	**2**	**10**

4	What is meant by elasticity of demand? Discuss the types of elasticity of demand	**1**	**2**	**10**
5	Explain how do you measure elasticity of demand? Explain different types of price elasticity of demand	**1**	**2**	**10**
6	What are the needs for demand forecasting and Explain the what are factors governing of demand forecasting	**1**	**2**	**10**
7	What do you understand by demand forecasting? Explain different methods of demand forecasting	**1**	**2**	**10**
8	Explain the significance of elasticity of demand and the factors influencing it.	**1**	**2**	**10**
9	a.) What is the contemporary importance of Managerial Economics	**1**	**2**	**5**
	b.) Discuss the functions and advantages of Managerial Economics.			**5**
10	Write a short notes on, a)Law of demand b)Exceptions of demand	**1**	**2**	**10**

Module – 2 Production and Cost Analysis

S. No	Question	CO	BL	Marks
	Short Questions			
1	What do you mean by opportunity cost?	**2**	**1**	**2**
2	Explain the term " Margin of Safety."	**2**	**1**	**2**
3	Write about Break-Even Point.	**2**	**1**	**2**
4	What is diseconomies of scale?	**2**	**1**	**2**
5	Define Production function.	**2**	**1**	**2**
6	What is meant by Least Cost Combination of inputs?	**2**	**1**	**2**

7	Define Cost.	**2**	**1**	**2**
8	Write about law of returns to scale.	**2**	**1**	**2**
9	What is Angle of incidence?	**2**	**1**	**2**
10	What is “Sunk Cost” ?	**2**	**1**	**2**
	Long Questions			
1	A company makes a single product with a sales price of Rs.10 and a variable cost of Rs.6 per unit. Fixed costs are Rs.60000. calculate, break-even units, break-even sales, Sales to get profit, P/V ratio	**2**	**2**	**10**
2	a.) Define production function. Explain the production function with one variable input.	**2**	**2**	**5**
	b.) Discuss the significance and advantages of production function.			**5**
3	Write a short notes on, a)Iso-quants b)Iso-costs	**2**	**2**	**10**
4	Write a short notes on, a)Fixed cost b) Variable cost	**2**	**2**	**10**
5	Explain the different types of internal and external economies of scale.	**2**	**2**	**10**
6	Explain breakeven analysis and its importance.	**2**	**2**	**10**
7	From the following information, Selling price 10/- per unit , Variable cost 5/- per unit, Fixed cost 15,000/-, Actual sales 8000 units Calculate, a) B.E.P. units b) B.E.P.sales c)P/V Ratio d) Margin of safety.	**2**	**2**	**10**
8	Explain the different types of cost concepts.	**2**	**2**	**10**
9	A firm has a fixed cost of Rs.10,000/-, Selling price per unit is 5/-,and Variable cost per unit is 3/-. Determine, a) B.E.P in terms of volume and sale value b) Calculate Margin of safety consider that the actual production in 8000 units.	**2**	**2**	**10**

10	Write a short notes on, a) MRTS b) Cobb-douglas production function	**2**	**2**	**10**

Module – 3 Business Organizations and Markets

S. No	Question	CO	BL	Marks
	Short Questions			
1	What do you mean by business?	**3**	**1**	**2**
2	Write about partnership deed.	**3**	**1**	**2**
3	What are Public Sector Enterprises.	**3**	**1**	**2**
4	Define Market.	**3**	**1**	**2**
5	Who is a sleeping partner?	**3**	**1**	**2**
6	Define Monopoly.	**3**	**1**	**2**
7	What is dynamic pricing.	**3**	**1**	**2**
8	Write about imperfect competition.	**3**	**1**	**2**
9	What is meant by Articles of Association?	**3**	**1**	**2**
10	Give an example of a perfect market.	**3**	**1**	**2**
	Long Questions			
1	Describe perfect and imperfect markets along with their features.	**3**	**2**	**10**
2	Define markets and explain the classification of markets.	**3**	**2**	**10**

3	Explain the features of oligopoly in detail.	**3**	**2**	**10**
4	Explain the features of monopolistic competition and state how the price and out-put is determined in this situation.	**3**	**2**	**10**
5	Illustrate various pricing methods followed in business organizations.	**3**	**2**	**10**
6	Explain the features of sole trade organization along with their merits and demerits.	**3**	**2**	**10**
7	Explain the features, merits and limitations of Joint Stock Company.	**3**	**2**	**10**
8	Explain features of partnership with its merits and demerits.	**3**	**2**	**10**
9	Write the differences between sole trader and partnership.	**3**	**2**	**10**
10	Define perfect competition and explain the price and output determination in case of perfect competition.	**3**	**2**	**10**

Module – 4 Capital Budgeting

S. No	Question	CO	BL	Marks
	Short Questions			
1	Define the term “Capital.”	**4**	**1**	**2**
2	What is fixed working capital ?	**4**	**1**	**2**
3	Write about the types of working capital.	**4**	**1**	**2**
4	Give any four examples of current assets.	**4**	**1**	**2**
5	What is present value factor.	**4**	**1**	**2**
6	Write about trade credit.	**4**	**1**	**2**

7	Define Capital Budgeting.	**4**	**1**	**2**
8	What are the techniques of Capital Budgeting?	**4**	**1**	**2**
9	What is capitalization ?	**4**	**1**	**2**
10	Explain the term “IRR.”	**4**	**1**	**2**
	Long Questions			
1	What is working capital? Explain the factors governing working capital requirements.	**4**	**2**	**10**
2	A company is considering two investment opportunities A and B that cost Rs.4,00,000 and Rs.3,00,000 respectively. The first project generates Rs.1,00,000 a year for 4 years. The second generates Rs.6,00,000, Rs.1,00,000, Rs.80,000, Rs.90,000 and Rs.70,000 over a five years period. The company’s cost of capital is 8%. Which project would you choose under NPV method .	**4**	**2**	**10**
3	Discuss working capital cycle with suitable diagram.	**4**	**2**	**10**
4	Explain, a. Components of working capital b. Working capital cycle	**4**	**2**	**10**
5	Write a short notes on, a. Payback period method b. ARR method	**4**	**2**	**10**
6	Explain the nature and significance of Capital Budgeting.	**4**	**2**	**10**
7	Coastal software Ltd.is proposing to mechanize their operations. Two proposals M and N in form of quotations have been received from two different vendors. The proposal in each case costs Rs.5, 00,000. A discount factor of 12% is used to compare the proposals. CFAT are likely to be as under: YEAR | Proposal M | Proposal N 1 | 1,50,000 | 50,000 2 | 2,00,000 | 1,50,000 3 | 2,50,000 | 2,00,000 4 | 1,50,000 | 3,00,000 5 | 1,00,000 | 2,00,000 Which one do you recommend under: a) Payback period method.	**4**	**2**	**10**

	b) Accounting Rate of Return method. c) Net present value method.			
8	Explain about the methods and sources of finance.	**4**	**2**	**10**
9	Explain about the capital budgeting methods.	**4**	**2**	**10**
10	What is capital? Explain its classifications.	**4**	**2**	**10**

Module – 5 Financial Accounting and Analysis

S. No	Question	CO	BL	Marks
	Short Questions			
1	Define Accounting.	**5**	**1**	**2**
2	Explain Accounting Cycle.	**5**	**1**	**2**
3	What is Journal.	**5**	**1**	**2**
4	Write about Ledger.	**5**	**1**	**2**
5	How to calculate EPS ?	**5**	**1**	**2**
6	What is Financial Analysis?	**5**	**1**	**2**
7	Write about double entry bookkeeping.	**5**	**1**	**2**
8	What is trial balance?	**5**	**1**	**2**
9	Name the different branches of Accounting.	**5**	**1**	**2**
10	Give any four examples of current liabilities.	**5**	**1**	**2**

Long Questions

1	Briefly explain about accounting concepts and conventions.	**5**	**2**	**10**
2	Write short notes on, a) Personal account b) Real account. c)Nominal account	**5**	**2**	**10**
3	Journalize following transactions, 1-1-23 1. Raju invests Rs.50,000 cash. 2-1-23 2. He bought goods worth Rs10,000/- 3-1-23 3. He sold goods for cash Rs.30,000/- 4-1-23 4. He paid to shyam Rs10,000/- 5-1-23 5. Carriage Rs.1,000/- . 31-1-23 6. Rent paid Rs.3000/- 31-1-23 7. Salaries paid 20,000/-	**5**	**2**	**10**
4	What do you understand by double entry book keeping ? What are its advantages	**5**	**2**	**10**
5	From the following Trial Balance you are required to prepare trading, profit and loss account for the year ending March 31, 2017 and Balance Sheet on that date.	**5**	**2**	**10**

Particulars	**Amount (₹)**	**Particulars**	**Amount (₹)**
Opening stock	25,000	Sales	7,00,000
Furniture	16,000	Creditors	72,500
Purchases	5,55,300	Bank Overdraft	50,000
Carriage Inwards	4,700	Bills payable	2,100
Bad debts	1,800	Discount	500
Wages	52,000	Capital	2,00,000
Debtors	80,000	Purchases Return	20,000
Sales Return	15,000		
Rent	24,000		
Miscellaneous Expenses	3,400		
Salaries	68,000		
Cash	8,900		
Drawings	14,000		
Buildings	1,60,000		
Advertising	10,000		
Interest on Bank Overdraft	7,000		
	10,45,100		10,45,100

Adjustments

1. Closing stock valued at ₹ 36,000.
2. Rent received in advance₹12,000.
3. Provision for doubtful debts @ 5% on debtors.

	4. Outstanding salaries ₹ 4,000. 5. Depreciate furniture by 10%.			
6	From the following information, <table><tr><td></td><td>Rs.</td><td>Rs.</td></tr><tr><td>DEBENTURE</td><td>1,40,000</td><td>Bank balance 30,000</td></tr><tr><td>Long term loans</td><td>70,000</td><td>Sundry debtors 70,000</td></tr><tr><td>General</td><td>40,000</td><td></td></tr><tr><td>Creditors</td><td>66,000</td><td></td></tr><tr><td>Bills payable</td><td>14,000</td><td></td></tr><tr><td>Share capital</td><td>1,20,000</td><td></td></tr></table>Calculate , a) Debt equity ratio. b) Current ratio.	**5**	**2**	**10**
7	Write a short notes on, a)Liquidity Ratios b)Profitability Ratios	**5**	**2**	**10**
8	Define ratio analysis? Explain its classifications.	**5**	**2**	**10**
9	Calculate Current ratio and Quick ratio from the following information, Balance sheet of ABC Co.Ltd. As on 31-12-2022 <table><tr><td>**LIABILITIES**</td><td>**AMOUNT (Rs)**</td><td>**ASSETS**</td><td>**AMOUNT (Rs)**</td></tr><tr><td>Equity share capital</td><td>1,500</td><td>Plant & Machinery</td><td>975</td></tr><tr><td>Debentures</td><td>400</td><td>Stock</td><td>550</td></tr><tr><td>Creditors</td><td>200</td><td>Debtors</td><td>550</td></tr><tr><td>Outstanding expenses</td><td>100</td><td>Cash in hand</td><td>375</td></tr><tr><td>Profit & loss A/C</td><td>100</td><td>Prepaid expenses</td><td>50</td></tr><tr><td>Bank loan</td><td>200</td><td></td><td></td></tr><tr><td>Total</td><td>2,500</td><td></td><td>2,500</td></tr></table>	**5**	**2**	**10**
10	Briefly explain about debit, credit rules of personal, real and nominal accounts.	**5**	**2**	**10**

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